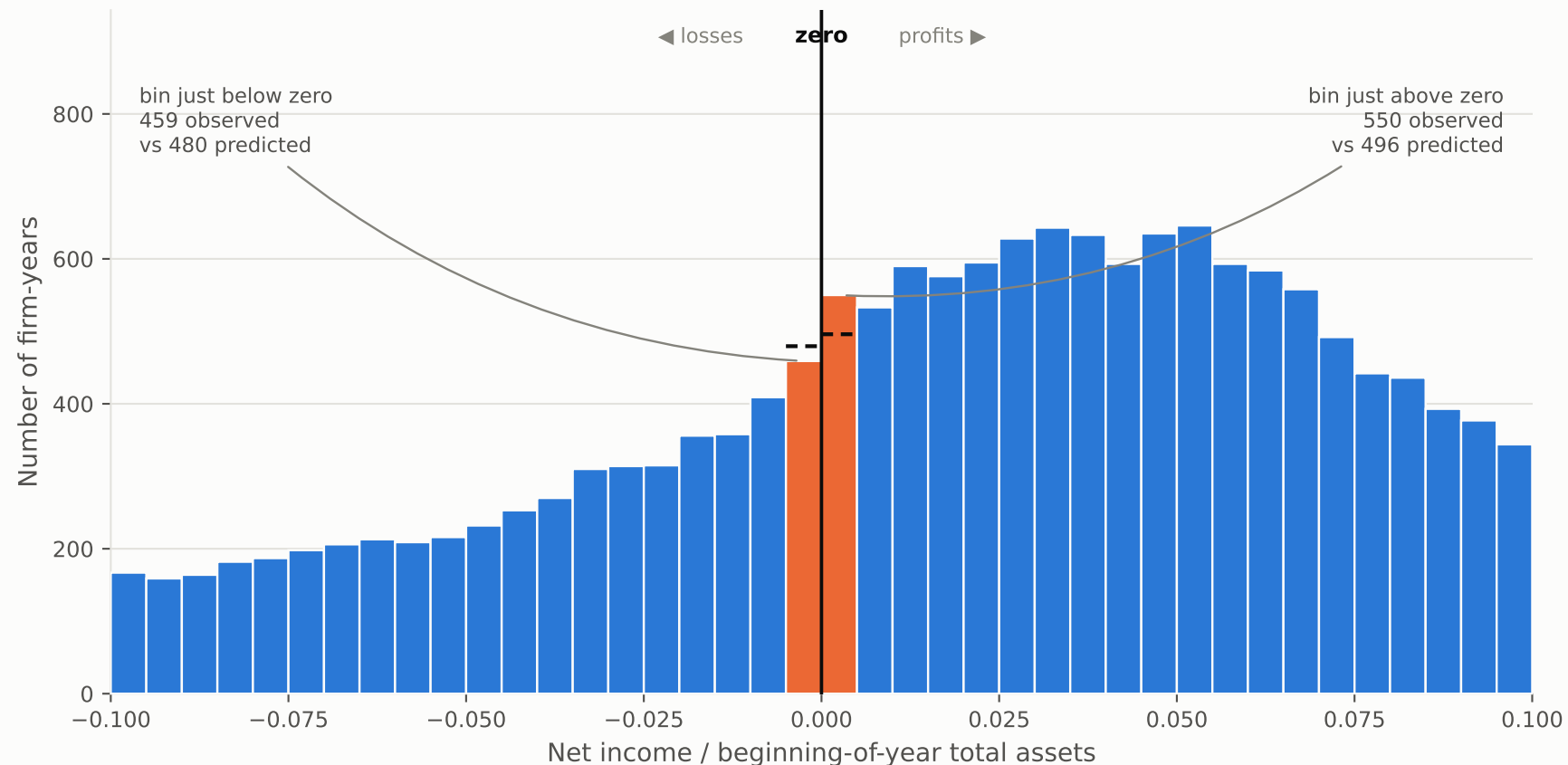
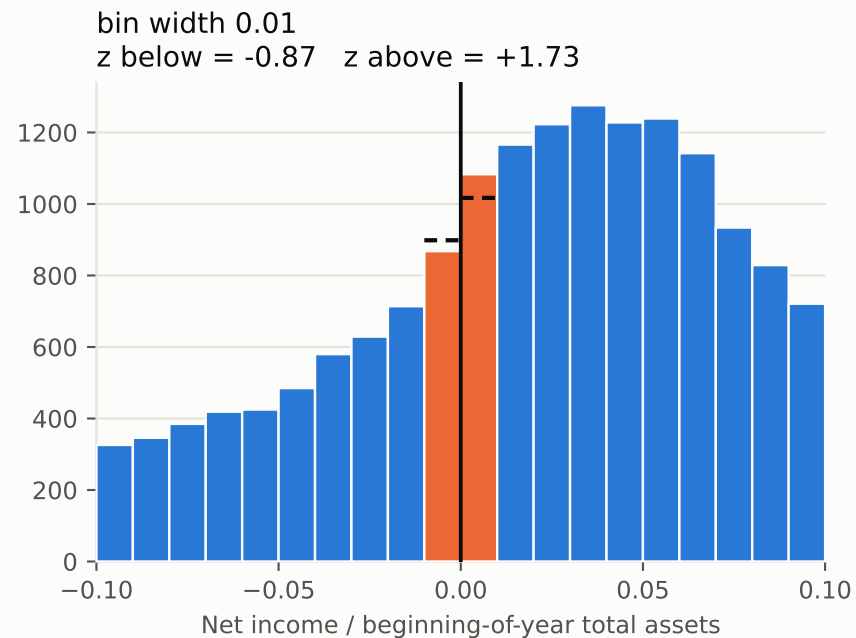
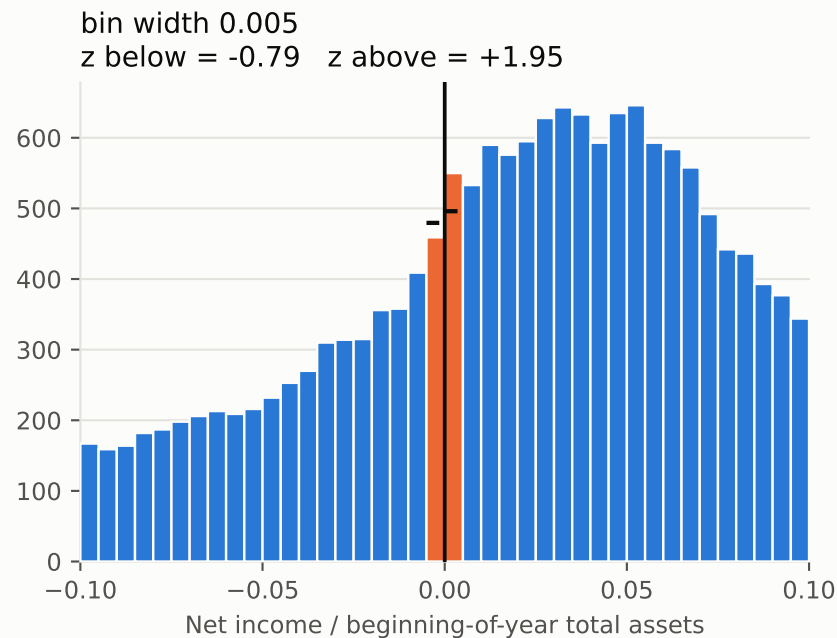
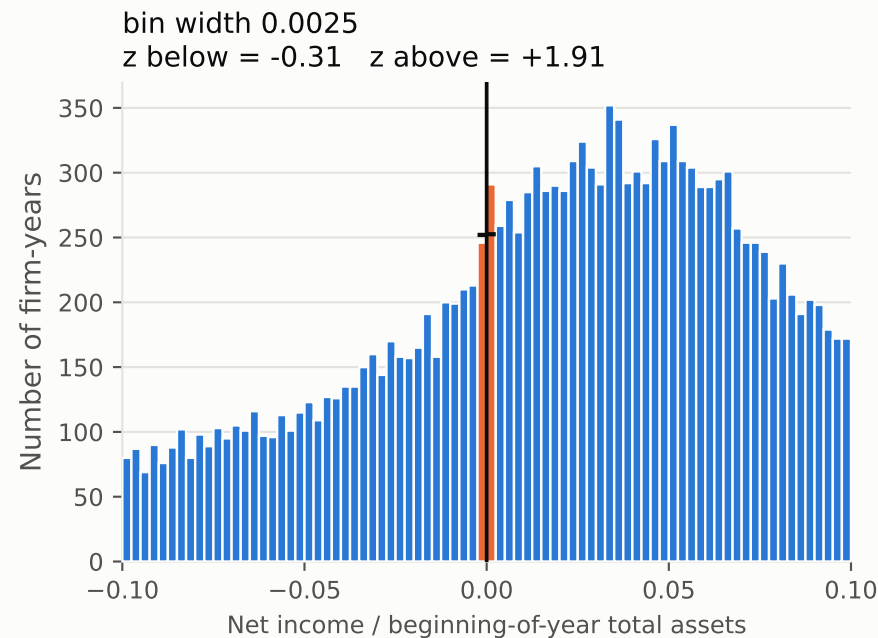


Distribution of scaled net income around zero

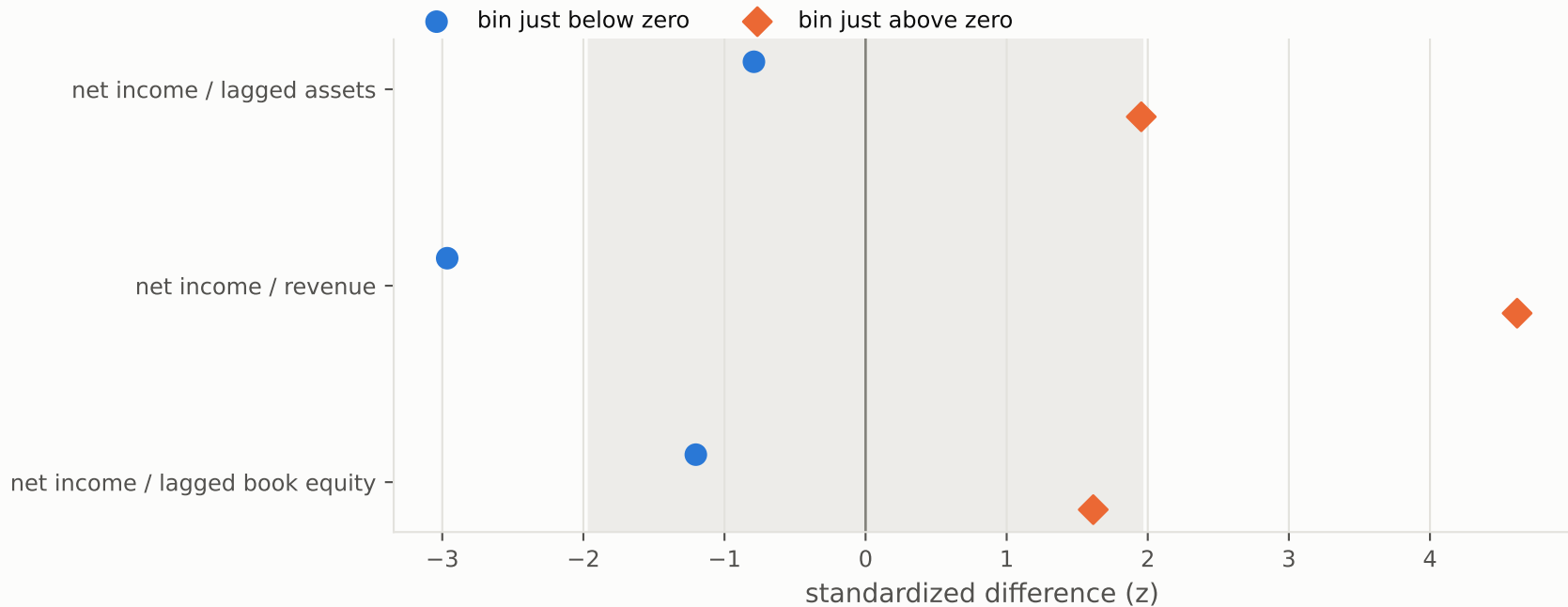


Bin width 0.005 of beginning-of-year total assets; zero falls on a bin boundary, not inside one. N = 16,018 firm-years; 3,582 distinct firms; fiscal years 2016-2025. Source: SEC Financial Statement Data Sets (10-K filings). Window restricted to $|\text{scaled earnings}| \leq 0.10$. Dashed rules mark each focal bin's count predicted from its two neighbours, $(\text{count}_{i-1} + \text{count}_{i+1}) / 2$.

The same test at three bin widths

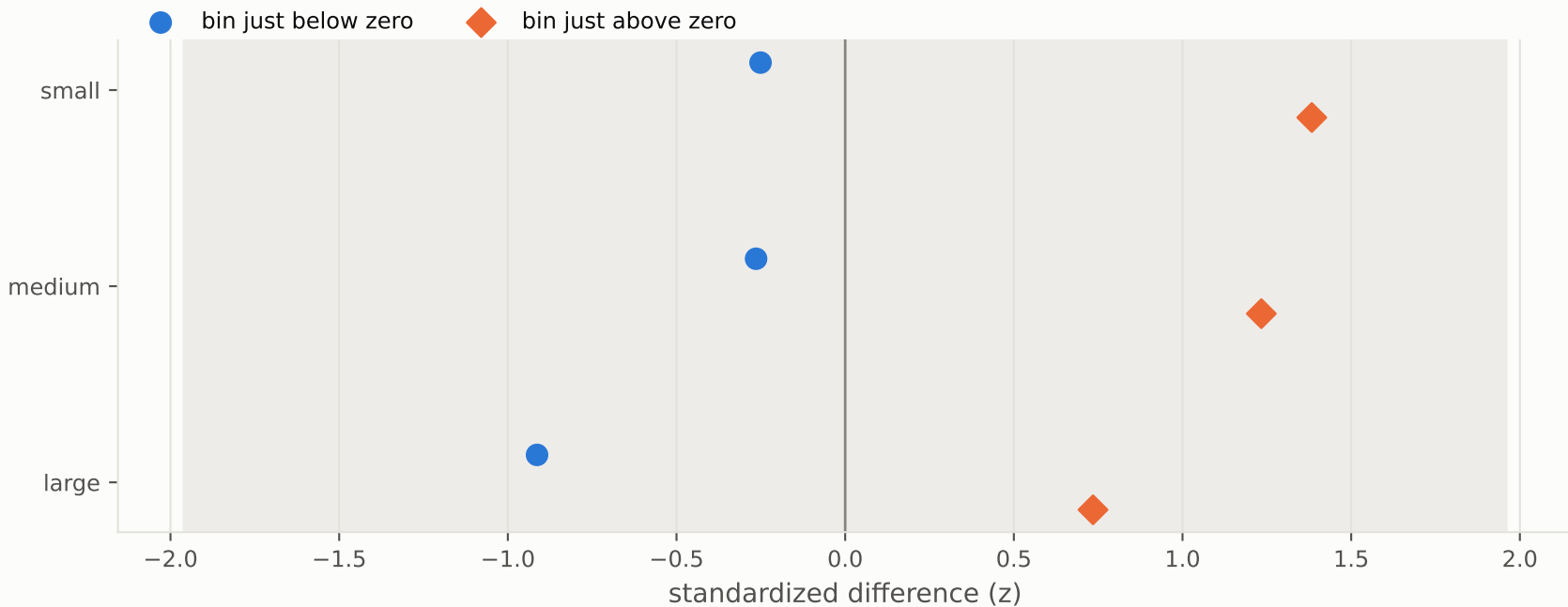


6.1 Does the notch survive a change of scalar?



Shaded band is $|z| < 1.96$. Bin width 0.005. Source: SEC Financial Statement Data Sets (10-K filings)

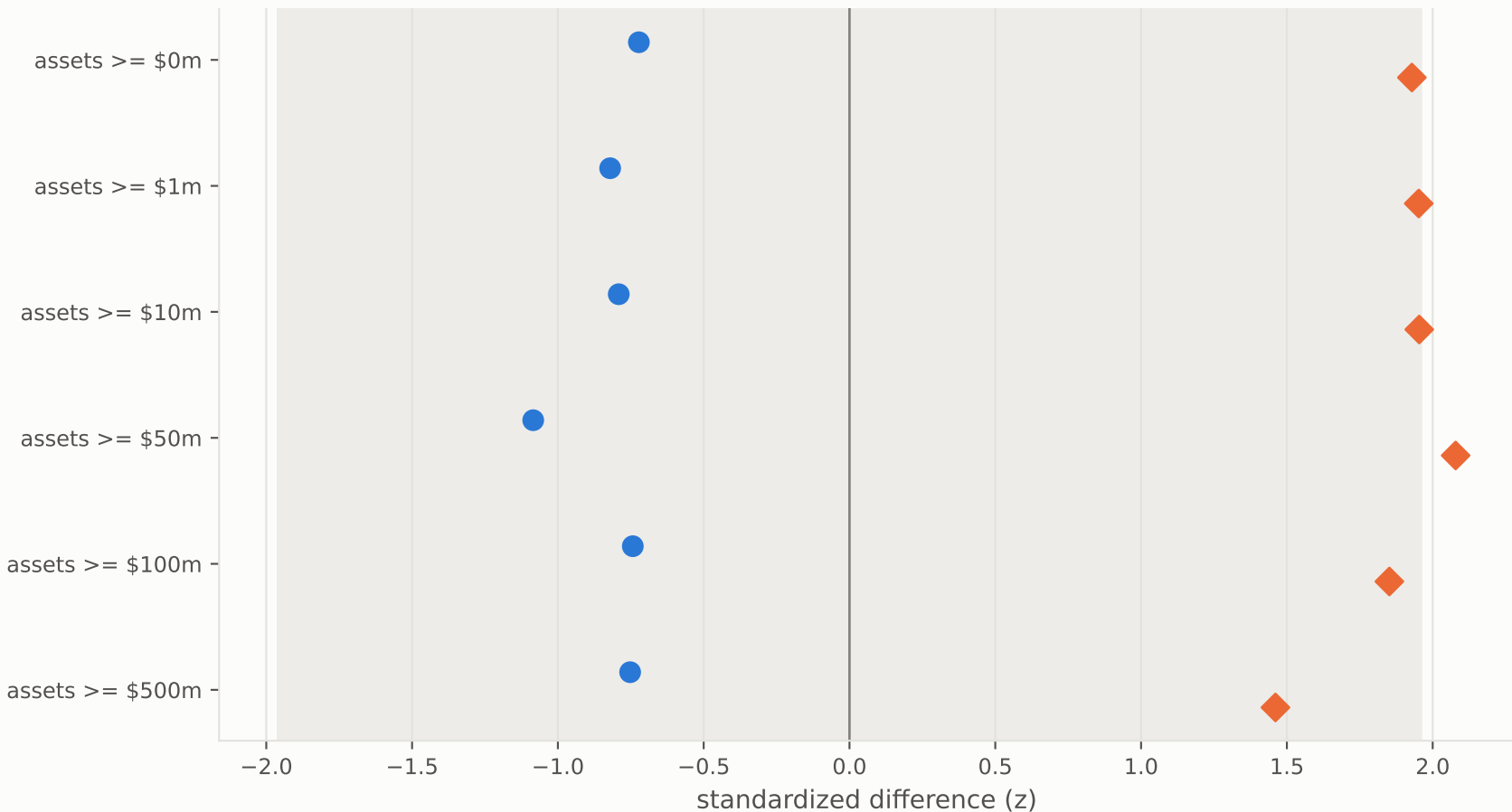
6.2 Is the notch concentrated in small firms?



Shaded band is $|z| < 1.96$. Terciles of beginning-of-year total assets. Bin width 0.005.

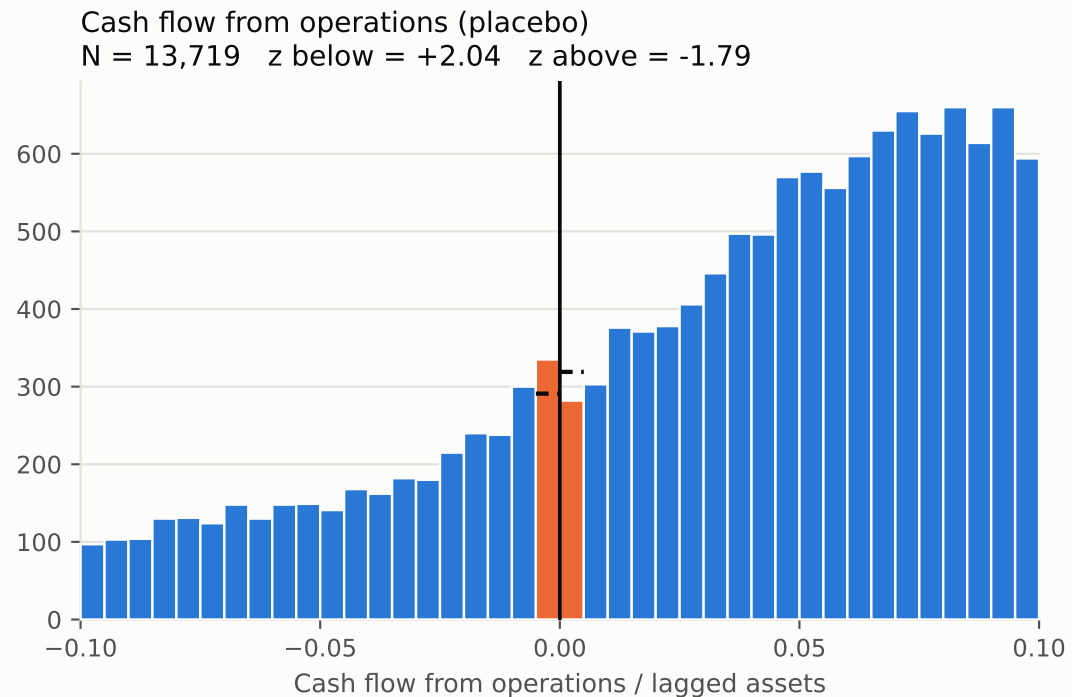
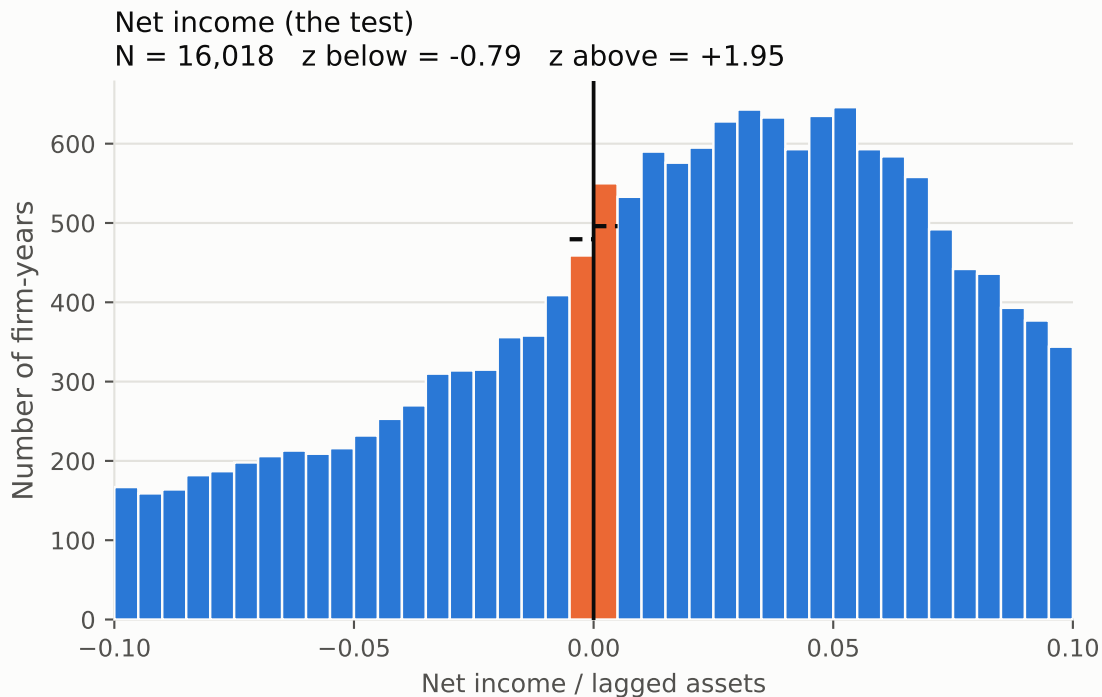
6.3 Does the result depend on including the smallest firms?

● bin just below zero ◆ bin just above zero



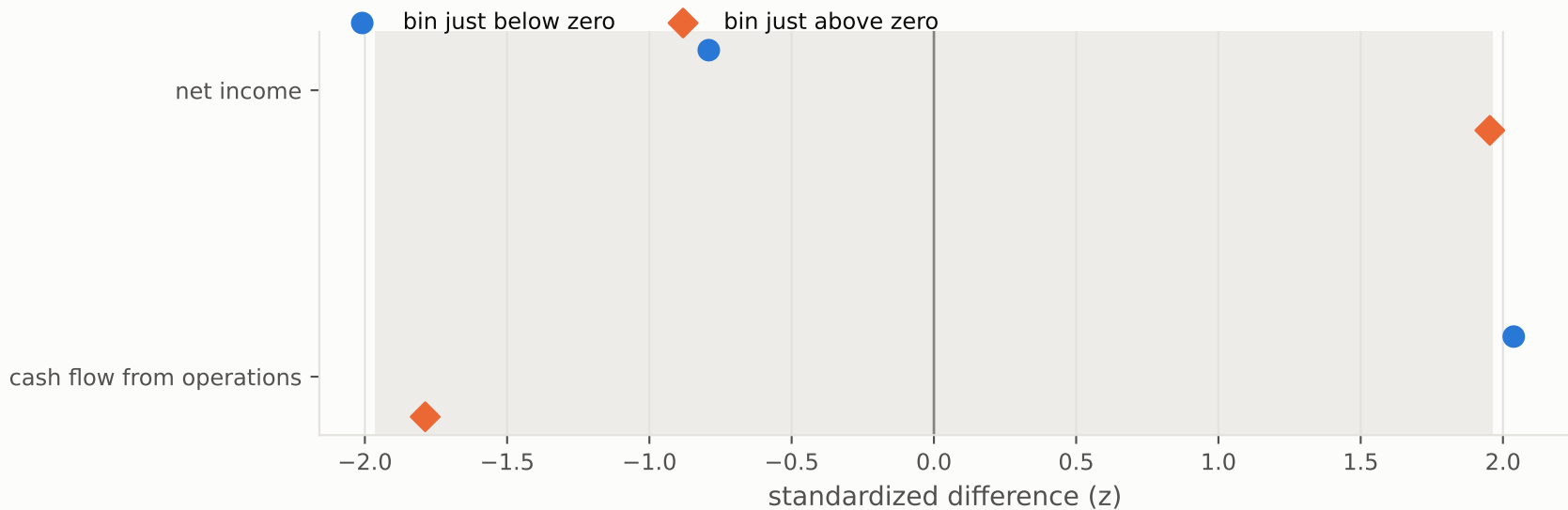
Shaded band is $|z| < 1.96$. Full filter chain re-run at each floor. Bin width 0.005.

Cash-flow placebo: is the notch specific to accrual earnings?



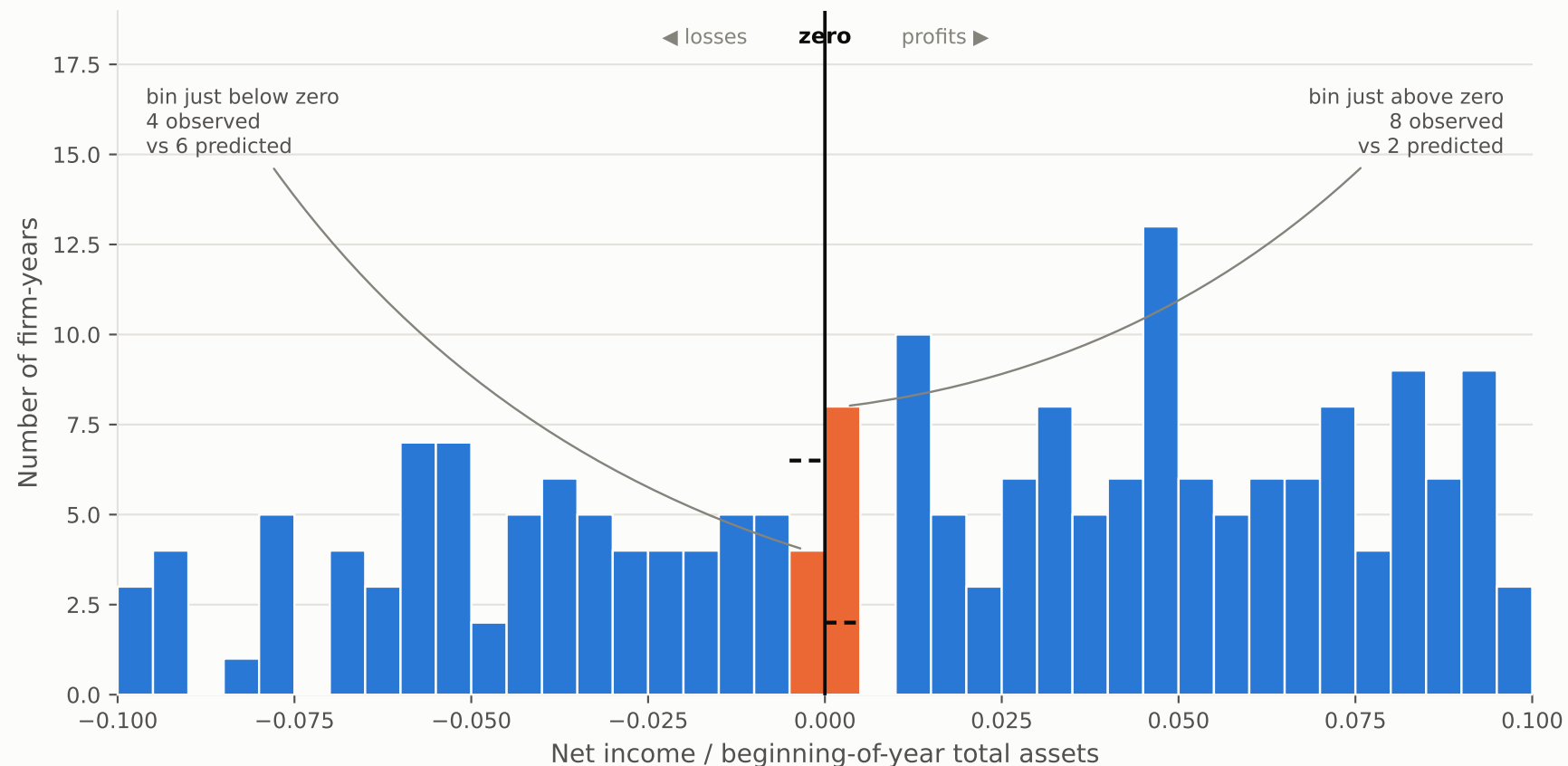
Bin width 0.005. Both measures scaled by the same beginning-of-year total assets. Source: SEC Financial Statement Data Sets (10-K filings).

6.4 Cash-flow placebo



Shaded band is $|z| < 1.96$. Identical test, identical denominator. Bin width 0.005.

Phase 0 prototype: scaled net income, 300-ticker yfinance sample



Bin width 0.005 of beginning-of-year total assets; zero falls on a bin boundary, not inside one. N = 204 firm-years; 88 distinct firms; fiscal years 2023-2026. Source: yfinance (300-ticker prototype sample). Window restricted to $|\text{scaled earnings}| \leq 0.10$. Dashed rules mark each focal bin's count predicted from its two neighbours, $(\text{count}_{i-1} + \text{count}_{i+1}) / 2$.